

MGTP 421
Internal Control over Financial Reporting
Syllabus Fall 2026

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CLASS:	Thursday, 11:00am-1:50pm
LOCATION:	1E107

COURSE OVERVIEW AND JUSTIFICATION:

Internal control over financial reporting ("ICFR") is fundamental to the preparation of reliable financial statements and to the effective operation of an organization. This course introduces students to the practical application of ICFR concepts within the business processes that produce financial information. It is designed for students who may have studied auditing but have not previously examined ICFR as a distinct professional discipline.

The course approaches ICFR from both the company's and the independent auditor's perspectives. Students consider how management designs and operate controls to prevent or detect errors and fraud, how companies evaluate whether controls address identified risks, and how independent auditors consider the design and operating effectiveness of controls in the context of their responsibilities. The course emphasizes the connection among financial reporting assertions, risks of material misstatement, control objectives, control activities, and the evaluation of control deficiencies.

Students apply these concepts to the purchasing and payroll, inventory and production, sales and collection, and general accounting and month-end/close processes. They analyze how transactions originate, move through an organization, are recorded in accounting systems, and ultimately affect the financial statements. Students learn to document processes and controls using professional tools, including process narratives, systems flowcharts, data flow diagrams, risk-control matrices, and entity relationship diagrams, while maintaining appropriate focus on the practical purpose of each tool.

The course also considers the role of information technology, IT general and application controls, corporate governance, audit committees, internal auditing, fraud and error risk, and risk management in supporting reliable financial reporting. A portion of the course addresses how automated systems, data analytics, and artificial intelligence may affect the design, implementation, operation, and assessment of ICFR. These topics are considered in relation to financial reporting risk and control—not as a comprehensive information systems or technology course.

The course is taught from a professional and practical perspective. Students are expected to engage with substantial professional and other assigned reading, exercise judgment, support conclusions with appropriate analysis, and communicate with the level of care expected of individuals beginning their professional careers. The course also provides the basis and knowledge of ICFR in relevant preparation for the CPA examination, while maintaining a broader professional objective: preparing students to participate meaningfully in the design, implementation, documentation, evaluation, assessment and improvement of ICFR.

FOCUS:

The course focuses on the relationship between business processes and reliable financial reporting. For each major process, students consider:

- the nature and flow of transactions and related financial information;
- the financial statement accounts and assertions affected by the process;
- the risks of material misstatement arising from the process;
- the objectives that appropriately respond to those risks;
- the controls designed and implemented to achieve those objectives;
- the information technology and other systems that support the process;
- the evidence necessary to understand and evaluate the controls; and
- the nature and implications of any identified control deficiencies.

The principal processes addressed are purchasing and payroll, inventory and production, sales and collection, and general accounting and month-end reporting. Documentation is treated as both a professional communication skill and a means of analyzing whether a process and its controls are adequately designed.

The course further examines ICFR in the broader organizational context, including the COSO framework, corporate governance, audit committees, internal auditing, fraud risk, and the relationship between management's responsibilities and the independent auditor's responsibilities. IT controls and emerging technologies are addressed insofar as they affect financial reporting risk and the reliability of information used in control activities and financial reporting. The course is not intended to provide a comprehensive treatment of auditing procedures or information systems design; rather, it establishes the ICFR foundation necessary for students to understand and evaluate controls in professional practice.

COURSE OUTCOMES:

Upon successful completion of the course, students will be able to:

1. Explain ICFR and the COSO framework.
2. Explain the roles of management, governance, internal audit, and the independent auditor.
3. Analyze the flow of transactions and financial information through major business processes.
4. Identify relevant assertions and risks of material misstatement.
5. Evaluate control objectives and control design.
6. Identify and assess control deficiencies.
7. Document processes, risks, and controls using professional tools.
8. Explain the role of IT controls and emerging technologies, including AI, in ICFR.
9. Explain the relationship between ICFR and financial statement auditing, including PCAOB AS 2201.
10. Consider the costs, benefits, limitations, and feasibility of control alternatives.
11. Communicate ICFR analyses and conclusions effectively in writing and presentations.

WEEKLY TEACHING THEMES AND READING ASSIGNMENTS:

Week 1 24-Sept	Reading (due) Lecture Lecture	"Introduction to the Internal Control Process" Class introduction Internal Control over Financial Reporting Overview/History, COSO Framework
Week 2 1-Oct	Reading (due) Weekly Quiz Lecture Lecture	(Case Study) SOX Compliance Journey at Trinity Industries; other articles as assigned Topics: Prior week lectures, Readings due today Documentation Process, Types of Controls and IT Systems Guest Speaker (subject to change)
Week 3 8-Oct	Reading (due) Weekly Quiz Lecture Project	(Case Study) Lehman bros and Repo 105; other articles as assigned Topics: Prior week lectures, Readings due today Business Process: Purchasing and Payroll Group Presentations
Week 4 15-Oct	Reading (due) Weekly Quiz Lecture Lecture Project	(Case Study) Accounting Fraud at WorldCom; other articles as assigned Topics: Prior week lectures, Readings due today Business Process: Inventory & Production Cycles Business Process: Sales/Revenue & Collection Cycles Group Presentations
Week 5 22-Oct	Reading (due) Weekly Quiz Lecture Lecture Project	(Case Study) The Enron Collapse; other articles as assigned Topics: Prior week lectures, Readings due today Business Process: General Accounting and Month End Cycles Guest Speaker (subject to change) Group Presentations
Week 6 29-Oct	Reading (due) Weekly Quiz Lecture Lecture Project	(Case Study) Baker Hughes – FCPA; other articles as assigned Topics: Prior week lectures, Readings due today Global Considerations on Controls Audits and Internal Control over Financial Reporting Group Presentations
Week 7 5-Nov	Reading (due) Weekly Quiz Lecture Lecture Project	(Case Study) DiscTech, Inc.; other articles as assigned Topics: Prior week lectures, Readings due today Business Process: IT Controls Guest Speaker (subject to change) Group Presentations

Week 8 12-Nov	Reading (due) Weekly Quiz Project Project	No reading due Topics: Prior week lectures Power BI: Group Presentations Group Presentations
Week 9 19-Nov	Reading (due) Weekly Quiz Lecture Project	(Case Study) Facebook Inc.: A Look at Corporate Governance; other articles as assigned Topics: Prior week lectures, Reading due today Guest Speaker (subject to change) Group Presentations
Week 10 3-Dec	Reading (due) Weekly Quiz Lecture Discussion	No reading due week prior to Final Exam Topics: Prior week lectures, Reading due today Panel: Corporate Governance Final Exam Review Q&A
10-Dec 11:30am 4N128	Final Exam	Final Exam

EVALUATION AND GRADING:

Your course grade will be based on the following deliverables:

Participation/Quizzes	30%	90 points
Speaker Advance Prep & Reflections	10%	30 points
Group Projects	30%	90 points
Exam	30%	90 points

POINTS DISTRIBUTION

A 94 – 100* Points	C 74 - 76
A- 90 - 93	C- 70 - 73
B+ 87 - 89	D+ 67 - 69
B 84 - 86	D 64 - 66
B- 80 - 83	D- 60 - 63
C+ 77 - 79	F 0 - 59

* A+ 97-100

In the determination of the final letter grade, .5 will be rounded up to the next whole number.

PARTICIPATION:

You are expected to be prepared for class, constructively participate in class discussions and contribute to your group project.

QUIZZES:

Each class will start with a brief in-person closed-note, closed-book quiz that covers (1) the lecture content from the prior class and (2) the readings assigned and due for that class. These quizzes are not expected to be tricky or exceedingly challenging; rather, meant to simply ensure that you are reading the Assignments and reviewing the prior week's notes. You may drop the lowest score.

SPEAKER ADVANCED PREP.:

In advance of a guest joining our class there will be an individual assignment to complete. The assignment will include you researching the speaker's experiences and accomplishments. Your findings will be posted to a class discussion board along with topics you would like addressed by our guest as well as questions you have for the speaker.

SPEAKER REFLECTIONS:

Following presentations by our Guest you will be asked to submit a short paper (not to exceed 200 words). The paper should include your reflection on what you heard and learned from the speaker(s).

GROUP PROJECT:

The group project will be created at the intersection of Internal Controls, Financial Reporting and Business Risks. In summary, students will work within small groups to prepare a short presentation to the class and lead a discussion addressing either a fraud related situation or reported Material Weakness with the specific subject area being decided on by each group. There will also be a brief presentation leveraging Power BI. More detailed project requirements will be provided in class and posted to Canvas.

FINAL EXAM:

Students will be given a closed-note, closed-book exam which will ensure that they have achieved the learning objectives of the course. The internal control over financial reporting course is conceptual rather than numerical/calculation-based, so it is more appropriate that the Final Exam be closed note, closed book. This also more closely simulates the requirements for the CPA examination.

USE OF ARTIFICIAL INTELLIGENCE ("AI")

This policy applies to the use of various generative AI tools that can generate text, images, etc., in response to prompts by users (e.g., ChatGPT, Google Gemini, Claude, Perplexity AI, etc.). You are permitted to use these tools for this class, with several caveats and conditions:

1. These tools should augment your work, not replace it. These tools can help you get started on ideas; help overcome writer's block or refine YOUR original ideas. These tools should not be used to generate content that you simply put your name on. This constitutes an academic integrity violation, much like taking another individual's work and misrepresenting it as your own original work (see end of syllabus for details on UCSD's academic integrity policy).
2. If you use generative AI for an assignment, be transparent about if/how it was used in a footnote or citation. Using generative AI tools without attributing credit will be treated as comparable to failing to properly credit and cite/reference other people's contributions and sources used in your work.
3. I will assume all students have access to and will use Generative AI and LLMs. If your work does not exceed the baseline quality level produced by AI, you should expect a lower grade.

4. Large language models have documented issues with hallucination and inaccuracy (e.g., generating fake citations, failing logical arguments, misrepresenting sources, etc.). You are fully responsible for the content you submit in your assignments and will be graded accordingly.

SYLLABUS CHANGES:

The outline presented herein is the existing plan for the quarter, however, to best achieve the learning objectives, it is subject to change as needed. Any changes to the syllabus will be announced/addressed in class, made within the posted course syllabus and/or communicated through a Canvas announcement with ample time in advance of any deadlines.

ACADEMIC INTEGRITY:

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:

<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

STUDENTS WITH DISABILITIES:

A student who has a disability or special need and requires accommodation to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member to initiate the request for accommodation in classes, examinations, or other academic program activities. No accommodation can be implemented retroactively.

Please visit the OSD website for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

SATISFACTORY ACADEMIC PROGRESS (SAP) REQUIREMENTS RELATED TO FINANCIAL AID:

[Satisfactory Academic Progress \(SAP\)](#) refers to the academic standards students must maintain to remain eligible for federal, state, and institutional financial aid. If you are receiving financial aid, please ensure you review the [SAP requirements and the appeals process](#).